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A Narrative Bid, Not an Earned Valuation

An overvaluation short on Zcash (ZEC), a top ten asset that earns almost nothing and is not the sound money it is sold as.

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TRACK Short, Market Cap Over $1B

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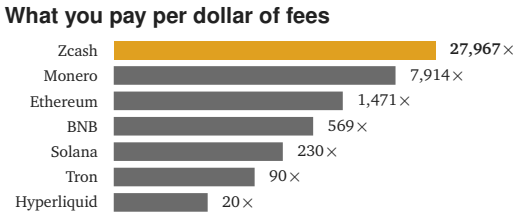
DATE November 2026

1 Executive Summary

A little over a year ago, in September 2025, Zcash was worth about $655 million. It would not have cleared the one billion dollar bar this short track requires. Today it is the tenth largest crypto asset, worth about $20 billion. I am an engineer, so I would rather be precise than dramatic: Zcash is a real network with real cryptography, and I am not calling it worthless. I am calling it badly overpriced. In the whole third quarter of 2026 the network earned about $204,000 in fees, and about $712,000 over the past year. That is a top ten asset running on the fee income of a coffee shop. We are short near $1,170, looking for $650 over 6 to 12 months.

$20B	$712K	28,000×	132%
MARKET CAP, RANK 10	NETWORK FEES, PAST YEAR	PRICE TO NETWORK FEES	ANNUALIZED VOLATILITY

A price like this is earned one of two ways. Either the network earns it, through fees and real usage, the way this panel grades a chain with the real economic value metric. Or the market treats the coin as money, a store of value like Bitcoin. Zcash fails both tests. The chart to the right is the first one: on fees, Zcash is not expensive, it is in a category of its own, about twenty eight thousand times its revenue where real networks sit between twenty and fifteen hundred. The most credible version of this came from inside the industry, when F2Pool cofounder Chun Wang called the run a narrative bid.



Market cap over yearly fees. Log scale. Source: DefiLlama.

> *A big market cap does not mean a coin earned its place.*
>
> CHUN WANG, COFOUNDER OF F2POOL

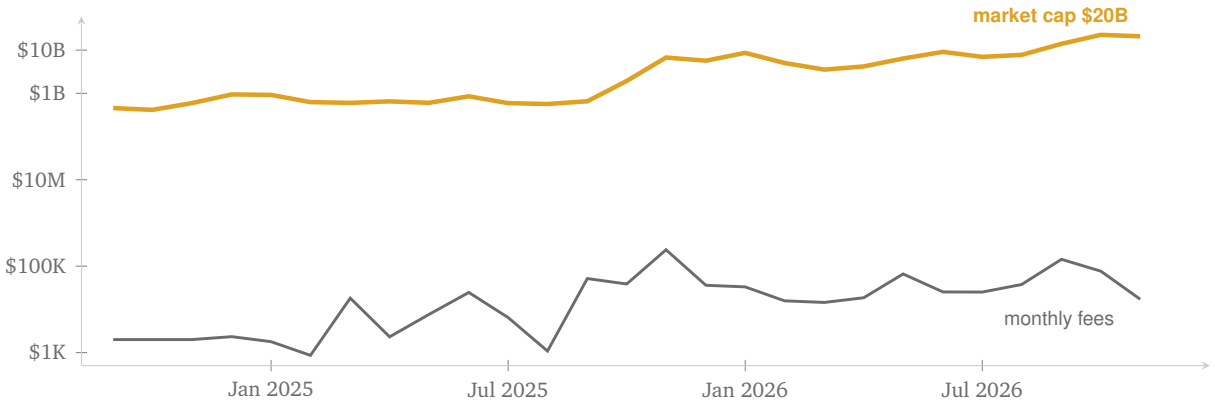
Underneath the price is a financial bid, not an organic one. A spot fund drew in money all summer and has started to bleed it, the largest corporate holder trades below the value of the Zcash it holds, and the tape is about fourteen times more futures than spot. This is a derivatives phenomenon, not an adoption one. The crowd is paying for a story. We are pricing the network.

2 Project Overview

2.1 What it is, and why it ran

Zcash hides transaction details with zero knowledge cryptography, on a fixed cap of 21 million coins that mirrors Bitcoin. For most of its life it was a forgotten 2016 project. In 2026 the story caught fire: a United States inquiry closed with no action, Grayscale launched the first United States spot Zcash fund and framed privacy as essential in the age of AI, Multicoin and Paradigm disclosed positions, and NU7 shipped. The engineering is real and the story is good. The only question for this track is whether the price the story produced is real. Figure 1 is the whole thesis in one picture.

Figure 1 The market cap exploded. What the network earns did not.

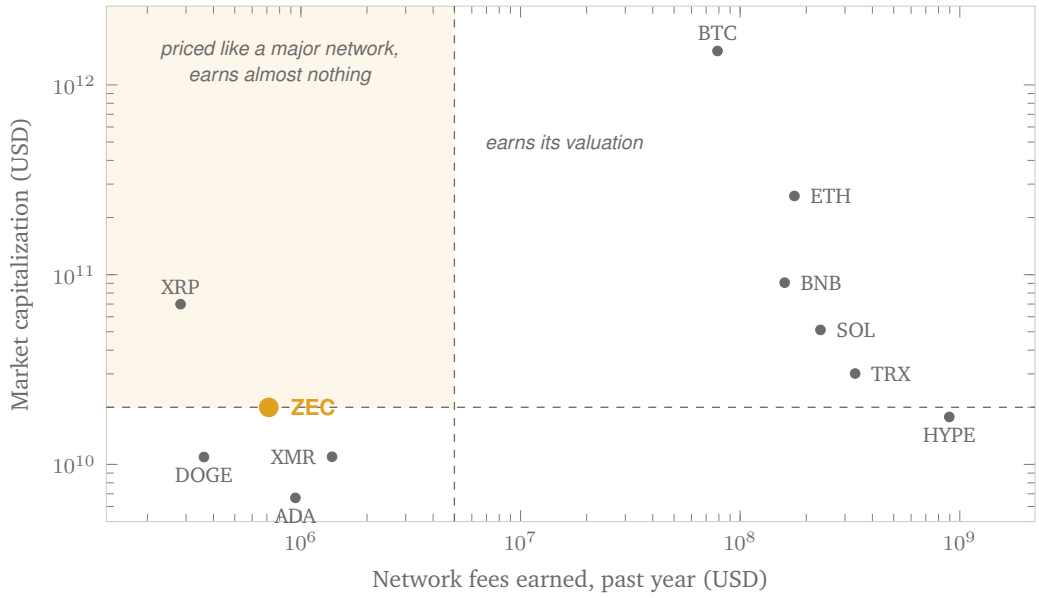


Market cap (gold) vs monthly network fees (gray), log scale. Source: CoinMetrics, DefiLlama.

2.2 It has not earned the valuation

Here is the comparison that settles it. Hyperliquid is worth about what Zcash is, around $18 billion. Last year Hyperliquid earned $895 million in fees. Zcash earned $712,000. Same price, a thousand times the business. It is not just Hyperliquid. Measured on fees, Zcash is the most expensive large asset in crypto, and even Monero, the other privacy coin at half the market cap, earns nearly twice the fees. Usage is not zero and it is rising, but it does not reach the token: people use the network without paying it, so the activity never becomes revenue. Figure 2 puts every top ten asset on one map, and Zcash sits alone in the corner.

Figure 2 A valuation map: market value against what the network earns

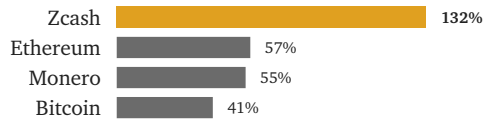


Every top ten asset, market cap vs yearly fees. Log scales. Source: CoinGecko, DefiLlama.

2.3 The token, and who holds it

About 17 million of the 21 million cap are mined, so roughly a fifth of the supply is still to come, about five times Bitcoin's remaining issuance as a share of supply. The holders most able to sell are the ones who built the move: the top hundred wallets hold the bulk of visible supply, a single treasury sits on about 1.9 percent, and leveraged longs run the tape. And the price behaves like what it is. Zcash's annualized volatility is near 132 percent, two to three times Bitcoin, Ethereum, or Monero. A real top ten store of value does not move like a small cap. This one does, because the float is thin and the bid is reflexive.

It trades like a small cap



90 day annualized volatility.

2.4 It is not sound money either

A four year bug, a 64% crash

A counterfeiting flaw in the Orchard pool was live for **about four years**. It could have minted **unlimited** coins, and because privacy hides everything, **nobody can prove it was never used**. Around the disclosure Zcash fell **64%**.

The bull reply is that Zcash is money, a private Bitcoin, so fees are the wrong lens. Fine. Then it has to clear the bar money clears, and it does not. In 2026 researchers found a counterfeiting flaw in the Orchard shielded pool that had been live for about four years and could have minted unlimited coins nobody could see. Because every transaction is hidden, not even the developers can prove it was never used. That is the opposite of Bitcoin, whose supply anyone can audit in seconds. The rest is no better. The founding team at the Electric Coin Company resigned in January, and the price fell about 14% that week. Issuance runs near 3.3% a year, and a fifth of every block goes to a developer fund, not to holders. Security is bought with inflation, not usage: over the last 90 days, 99.8% of what miners earned was newly printed supply and 0.2% was fees. And privacy is optional, so under a third of the supply is ever shielded. That is not a smaller Bitcoin.

2.5 Catalysts, and the bull case we have to beat

The reflexive bid is cracking

The Cypherpunk treasury trades about **18% below** the value of its own Zcash. The Grayscale fund hit $1B of assets on only **$306M** of real inflows, then lost a **$93.6M** week. The tape is **14x** more futures than spot.

To be fair, the bull case is not empty. Arthur Hayes has said Zcash could reach ten to twenty percent of Bitcoin, and Multicoin and Paradigm bought in. The pitch is that privacy gets scarce as artificial intelligence makes everything traceable, and Zcash is the cleanest public way to own it. I take that seriously. But the catalysts meant to carry it are already in the price or already turning. The spot fund that was the big new buyer has flipped to outflows. The treasury built to absorb supply trades below the value of its own coins, so the market will no longer pay it to keep buying. The scheduled events ahead cut against holders: the developer fund is up for debate, miners keep selling new supply, and NU7 now routes most of the few fees that exist away from security. What is left is a story carried by a crowded, levered long.

Risks to the short. Momentum and the squeeze are real, and we respect a move to $2,000; we size small and lean on the gap. A spot fund that reaccelerates or renewed treasury buying would extend the mania. Usage is genuinely rising, and a regulatory overhang could cut either way, so we treat

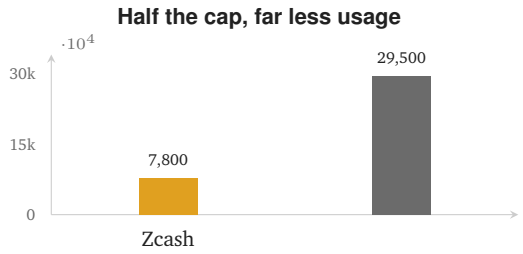
regulation as a secondary risk, not the thesis.

3 Investment Proposal

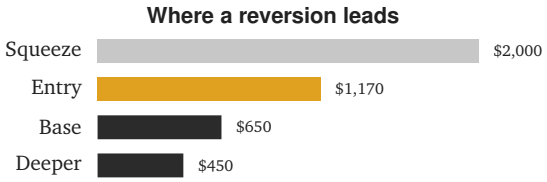
Position: short Zcash, entry near $1,170, horizon 6 to 12 months. The targets are not guesses, they come from the one honest comparable. Zcash has about 17 million coins. A base case near $650 puts its market cap close to Monero's, around $11 billion, which is where a privacy leader that earns less and shields less than Monero should sit. A deeper case near $450 takes it below Monero. We weight the outcomes 20% deeper, 45% base, and 35% a squeeze to $2,000, which still leaves a modest positive expected value on a high variance trade.

3.1 Valuation on the metrics that matter

Three lenses converge. First, revenue, the metric this panel built: Zcash trades near twenty eight thousand times its fees, where real networks sit between twenty and fifteen hundred. Second, comparables: Monero earns nearly twice the fees and clears several times the real private payments for half the market cap, so Zcash carries a privacy premium of about two times its usage does not justify. Third, the holder base: the marginal buyers are a fund that is now selling and a treasury underwater on the market's own view, while miners add about 3% of new supply a year and sell it. Fundamentals, comparables, and flows all point the same way.



Daily transactions. Monero does about 4x, all private.



Entry, our targets, and the squeeze.

3.2 Why this is the trade

We also set a line we would be wrong at. If network revenue rose by an order of magnitude, or the shielded share of supply passed a clear majority, the thesis would be broken and we would cover. Neither is close. We are not shorting Zcash because it went up. We are shorting a gap we can measure, between a top ten price and a network that earns almost nothing and a kind of money weaker than the one it imitates. The reflexive buyers that built the premium are the most likely to accelerate the reversal.

3.3 What we are watching

We would press the short on confirmation and cover on invalidation. The signals that matter:

- Flows. Continued net outflows from the spot fund, and the treasury staying below the value of its coins, confirm the marginal buyer has turned.
- The fee line. Network fees staying near a rounding error through the next quarter keeps the valuation gap wide open.
- Supply. The developer fund vote, the next halving, and steady miner selling all push new supply into a thinning bid.
- What flips us. A real jump in network revenue, or the shielded share of supply crossing a majority,

would break the thesis and we would cover.

4 Conclusion

Zcash is a genuinely improved network wrapped in a valuation its fundamentals do not support. The usage is rising and the narrative has never been louder, but none of that underwrites a $20 billion price on an asset that earns about $712,000 of fees a year, shields under a third of its supply, trades at nearly twice the market cap of the privacy coin that does more real payment, and could not prove its own supply for four years. Priced as a network it is one of the most expensive in crypto. Priced as money it is weaker than Bitcoin on every axis that makes money sound. On the metrics that define value accrual, Zcash has not earned its place in the top ten, and the bid that carried it there is already turning.

Recommendation: short Zcash over a 6 to 12 month horizon. Base target $650, about 44% downside. Deeper target $450. Acknowledged squeeze risk toward $2,000. The narrative is loud. The revenue is not, and the money is not sound. That gap is the trade.

+44%	+62%	(71%)
BASE, ZEC $650	DEEPER, ZEC $450	SQUEEZE, ZEC $2,000

It fails the revenue test

Network fees, past year: about $712,000.
Price to fees: about 28,000 times.
Hyperliquid, the same market cap, earns $895 million.
DefiLlama logs its chain revenue as zero.

It fails the money test

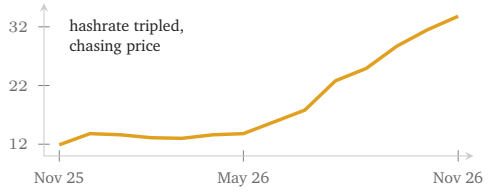
Supply was unverifiable for about four years.
A fifth of every block goes to a developer fund.
About 99.8% of security is paid by inflation.
Under a third of the supply is ever shielded.

Appendix The numbers behind the short

Price to fees, same methodology for every chain

ASSET	CAP	PRICE TO FEES
Hyperliquid	$18B	about 20 times
Tron	$30B	about 90 times
Solana	$53B	about 230 times
Ethereum	$274B	about 1,500 times
Monero	$11B	about 7,900 times
Zcash	**$20B**	**about 28,000 times**

Security is bought with inflation



Hashrate (gigasol/s). Over 90 days 99.8% of miner pay was new supply, 0.2% fees.

Zcash by the numbers, November 2026

Network fees, past year: about $712,000.
Network fees, Q3 2026: about $204,000.
Share of supply shielded: about 29%.
Fee value from transparent tx: about 60%.
Annual issuance: about 3.3%, a fifth to a dev fund.
Daily transactions: about 7,800, versus Monero near 29,500.
Largest holder: Cypherpunk, about 1.9% of supply.

The four year bug

A counterfeiting flaw nobody can close

The Orchard flaw was live **about four years** and could have minted **unlimited** coins. Because privacy hides everything, the developers **cannot prove it was never used**. Around the disclosure Zcash fell **64%**. That is the opposite of a store of value.

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